

Chapter – 1 Accounting Fundamentals/Basics
Section – B Double Entry Book - Keeping
Theoretical MCQs for practice

1. Paying electricity bill by bank affects the accounting equation as:
 - a) Assets↑, Equity↑
 - b) Assets↓, Equity↓**
 - c) Liabilities↑, Assets↓
 - d) Liabilities↓, Equity↑
2. Owner introduces additional cash into the business. Double entry?
 - a) Dr Capital; Cr Cash
 - b) Dr Cash; Cr Capital**
 - c) Dr Drawings; Cr Cash
 - d) Dr Cash; Cr Income
3. Owner withdraws cash for personal use effects the accounting equation as:
 - a) Assets↑, Equity↑
 - b) Assets↓, Equity↓**
 - c) Liabilities↑, Equity↓
 - d) No effect
4. Credit purchase of goods increases:
 - a) Assets and Liabilities
 - b) Assets and Equity
 - c) Liabilities and Expenses**
 - d) Equity only
5. Sold goods on cash increases:
 - a) Assets and Equity**
 - b) Assets and Liabilities
 - c) Equity and Liability
 - d) Asset and Expense
6. Double entry of paying a supplier by bank:
 - a) Dr Purchases; Cr Bank
 - b) Dr Payables; Cr Bank**
 - c) Dr Bank; Cr Payables
 - d) Dr Expenses; Cr Payables
7. Double entry of goods returned by credit customer:
 - a) Dr Sales Returns; Cr Receivable**
 - b) Dr Receivable; Cr Sales Returns
 - c) Dr Purchases Returns; Cr Receivable
 - d) Dr Sales; Cr Cash
8. Double entry of returning goods to supplier (credit purchase earlier):
 - a) Dr Purchases Returns; Cr Payables
 - b) Dr Payables; Cr Purchases Returns**
 - c) Dr Purchases; Cr Payables
 - d) Dr Payables; Cr Purchases

9. Double entry of cash deposited into bank
- a) Dr Cash; Cr Bank
 - b) Dr Bank; Cr Cash**
 - c) Dr Capital; Cr Bank
 - d) Dr Bank; Cr Sales
10. Which journal entry is correct for cash received from receivable?
- a) Dr Receivables; Cr Cash
 - b) Dr Cash; Cr Receivables**
 - c) Dr Bank; Cr Sales
 - d) Dr Sales; Cr Receivables
11. Goods withdrawn by owner for personal use:
- a) Dr Purchases; Cr Sales
 - b) Dr Drawings; Cr Purchases**
 - c) Dr Drawings; Cr Cash only
 - d) Dr Purchases Returns; Cr Drawings
12. Sales returns reduce:
- a) Assets only
 - b) Equity only
 - c) Assets and Equity**
 - d) Liabilities only
13. A debit entry in the journal generally represents:
- a) Increase in liability
 - b) Increase in expense**
 - c) Decrease in asset
 - d) Increase in revenue
14. Which account is credited when a business pays salary in cash?
- a) Salary Expense
 - b) Bank
 - c) Cash**
 - d) Capital
15. If goods worth Rs. 5,000 are purchased on credit, the journal entry will include:
- a) Debit Sales, Credit Cash
 - b) Debit Purchases, Credit Creditors**
 - c) Debit Creditors, Credit Purchases
 - d) Debit Purchases, Credit Capital
16. The basic accounting equation is/are:
- a) Assets – Liabilities = Capital**
 - b) Assets = Liabilities – Capital
 - c) Assets = Liabilities + Capital**
 - d) Assets = Income – Expenses
17. If assets increase by Rs. 5,000 and liabilities decrease by Rs. 2,000, then capital will:
- a) Increase by Rs. 7,000**
 - b) Decrease by Rs. 3,000

- c) Increase by Rs. 3,000
 - d) Decrease by Rs. 7,000
18. When the owner invests cash in the business, which elements are affected?
- a) Assets increase, Capital increases**
 - b) Assets decrease, Liabilities increase
 - c) Assets increase, Liabilities decrease
 - d) Assets increase, Expenses increase
19. If total assets are Rs. 100,000 and liabilities are Rs. 40,000, then owner's equity is:
- a) Rs. 140,000
 - b) Rs. 60,000**
 - c) Rs. 100,000
 - d) Rs. 40,000
20. Which transaction decreases both assets and liabilities?
- a) Payment to creditor in cash**
 - b) Owner introduces further capital
 - c) Depreciation on fixed assets
 - d) Sale of goods on credit
21. If liabilities increase by Rs. 20,000 and assets increase by Rs. 20,000, the effect on capital is:
- a) Increase by Rs. 20,000
 - b) Decrease by Rs. 20,000
 - c) No effect**
 - d) Cannot be determined
22. Withdrawal of Rs. 15,000 by owner will:
- a) Increase assets and increase capital
 - b) Decrease assets and decrease capital**
 - c) Increase liabilities and decrease assets
 - d) Increase liabilities and increase capital
23. The correct journal entry for paying Rs. 8,000 rent by cheque is:
- a) Debit Rent, Credit Cash
 - b) Debit Rent, Credit Bank**
 - c) Debit Bank, Credit Rent
 - d) Debit Rent, Credit Capital
24. Which account will be credited when goods are sold on credit?
- a) Debtors
 - b) Sales**
 - c) Purchases
 - d) Cash
25. Which account is debited when a business pays electricity bill in cash?
- a) Cash
 - b) Electricity Expense**
 - c) Capital
 - d) Liability

26. Purchase of furniture for Rs. 20,000 by cheque is recorded as:
- a) **Debit Furniture, Credit Bank**
 - b) Debit Bank, Credit Furniture
 - c) Debit Cash, Credit Furniture
 - d) Debit Purchases, Credit Bank
27. The journal is called a book of:
- a) Posting
 - b) Final entry
 - c) **Original entry**
 - d) Balancing
28. Goods returned to supplier are recorded by:
- a) Debit Purchases, Credit Cash
 - b) **Debit Creditors, Credit Purchases Return**
 - c) Debit Purchases Return, Credit Creditors
 - d) Debit Cash, Credit Purchases Return
29. Commission received in cash will be recorded as:
- a) **Debit Cash, Credit Commission Income**
 - b) Debit Commission Expense, Credit Cash
 - c) Debit Cash, Credit Commission Expense
 - d) Debit Income, Credit Cash
30. Which of the following increases both assets and liabilities?
- a) **Purchase of machinery on credit**
 - b) Cash sales
 - c) Payment of salaries
 - d) Purchase of machinery on cash
31. Which transaction decreases assets but does not change capital?
- a) **Payment to creditor**
 - b) Cash sales
 - c) Receiving payment from debtor
 - d) Owner's additional investment
32. The effect of paying creditor Rs. 15,000 by cheque is:
- a) Assets increase, Liabilities decrease
 - b) **Assets decrease, Liabilities decrease**
 - c) Assets decrease, Capital decreases
 - d) Assets increase, Capital decreases
33. When owner introduces additional Rs. 30,000 cash in the business:
- a) Assets increase, Liabilities increase
 - b) **Assets increase, Capital increases**
 - c) Assets decrease, Liabilities increase
 - d) Assets decrease, Capital decreases
34. Which of the following transactions affects only assets side of equation?
- a) Purchase of goods on credit
 - b) **Cash deposited into bank**

c) Owner withdraws goods

d) Rent paid

35. If liabilities increase by Rs. 10,000 and capital increases by Rs. 5,000, then assets will:

a) Increase by Rs. 5,000

b) Increase by Rs. 15,000

c) Decrease by Rs. 10,000

d) Decrease by Rs. 5,000
